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January 3, 2025

David Angeli, Michelle Kerin, Amy Potter
Angeli & Calfo LLC
121 SW Morrison St., Ste. 400
Portland, OR 97204

Re: *United States v. Georgia Baxter-Krause*
Case No. 6:24-cr-00441-MC-3
Plea Agreement Letter

Dear Counsel:

1. **Parties/Scope:** This plea agreement is between this United States Attorney's Office (USAO) in coordination with the United States Department of Justice Environmental Crimes Section (collectively, "the government") and defendant Georgia Baxter-Krause, a/k/a Georgia Krause, a/k/a Georgia Baxter ("defendant") and thus does not bind any other federal, state, or local prosecuting, administrative, or regulatory authority. This agreement does not apply to any civil remedy that the Environmental Protection Agency (EPA) or any other regulatory agency may seek.
2. **Charges:** Defendant agrees to plead guilty to Counts 3 and 4 of the Information, which charge defendant with two counts of false statements under the Resource Conservation and Recovery Act (RCRA), Title 42, United States Code, Section 6928(d)(3).
3. **Penalties:** The maximum sentence for an individual found guilty of this offense is a term of imprisonment not exceeding two years and a fine, or both, for each count. The maximum fine, for each count, is either \$50,000 per day of violation or \$250,000 per charge pursuant to 18 U.S.C. § 3571, whichever is greater. Defendant must also pay a mandatory fee assessment of \$100 per count by the time of entry of her guilty plea. *See* 18 U.S.C. § 3013(a)(2)(A).
4. **Dismissal/No Prosecution:** The government agrees not to bring additional charges against defendant in the District of Oregon arising out of this investigation as known to the government at the time of this agreement.

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5. **Elements of the Offense:** For defendant to be found guilty of Counts 3 and 4 of the Information, the government must prove the following elements beyond a reasonable doubt:

1. The defendant, Georgia Baxter-Krause, is a person, who;
2. Omitted information from or made a false statement or representation in;
3. A record or other document filed, maintained, or used for purposes of compliance with regulations promulgated by the State of Oregon under RCRA;
4. The omitted information or false statement was material; and
5. The defendant acted knowingly.

6. **Factual Basis:** Defendant has fully discussed the facts of this case and any potential defenses with defense counsel. Defendant has committed each of the elements of the crime to which defendant is pleading guilty and admits there is a factual basis for defendant's guilty plea as set forth herein and that these facts establish each of the foregoing elements beyond a reasonable doubt. Without prejudice to the parties' ability to present additional facts at sentencing, the following facts are true and undisputed:

From approximately 1943 to 2022, J.H. Baxter owned and operated numerous wood treatment facilities, including a facility at 3494 Roosevelt Blvd., Eugene, Oregon ("Facility"). J.H. Baxter was originally formed in California but is licensed to conduct business in Oregon. On corporate filings, J.H. Baxter & Co., Inc. is listed as the sole general partner for J.H. Baxter & Co., A California Limited Partnership. Unless otherwise indicated, the two entities will be referenced herein collectively as "J.H. Baxter." Since 2001, Georgia Baxter-Krause has identified herself as the President of J.H. Baxter.

J.H. Baxter employed a wood treatment process at the Facility that used several hazardous chemicals to treat and preserve wood. Facility personnel would insert quantities of untreated dimensional or laminated lumber into large, sealable, cylindrical devices called "retorts," along with treating chemicals. The retorts would be sealed to allow wood to absorb the treating chemicals under pressure. Those chemicals included pentachlorophenol ("penta"), creosote, and ammoniacal copper zinc arsenate (ACZA). ACZA consists of arsenic pentoxide among other constituents. The Facility's wastewaters, process residuals, preservative drippage, and spent formulations from the wood preserving processes were listed hazardous wastes under RCRA, specifically identified as hazardous waste codes F032, F034, and F035. *See* 40 C.F.R. § 261.31.¹

¹ Because authorized state programs operate in lieu of the federal programs, 42 U.S.C. § 6926(b), the federal government enforces the applicable state law or regulation. The State of Oregon has been authorized to administer the RCRA hazardous waste program, since 1986. 51 Fed. Reg. 3779; *see* 87 Fed.

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For years, when J.H. Baxter's Facility had too much water on site, including process wastewater and precipitation, J.H. Baxter's employees at the Facility would transfer hazardous process wastewater to an available wood treatment retort to "boil it off" or evaporate it. The retorts were left to boil until the volume of wastewater within the retort was greatly reduced, at which point J.H. Baxter would remove the remainder from the retort, label it as hazardous waste and ship it offsite for disposal.

Neither the Lane Regional Air Protection Agency (LRAPA) nor the Oregon Department of Environmental Quality (ODEQ), the permitting agencies for air pollution and hazardous waste, respectively, were made aware of this treatment process. J.H. Baxter did not have a permit to treat its hazardous waste in this manner, as required by RCRA. *See* 42 U.S.C. § 6925. Georgia Baxter-Krause, as president of J.H. Baxter, did not direct the boiling of process wastewater in retorts, but was generally aware of the practice beginning in, at least, 2016.

On September 3, 2020, following an inspection by ODEQ at the J.H. Baxter Facility, a hazardous waste compliance inspector with ODEQ submitted an information request via email to Georgia Baxter-Krause as the President, requesting certain information regarding the "Hazardous Waste (process wastewater) Evaporation in Retorts." Among other items, ODEQ posed the following questions:

- "How many occasions (estimated) has this practice been conducted. Provide dates/years when possible or indicate if it's a seasonal practice (i.e. each winter)."; and
- "Are records kept for this process? . . ."

On September 28, 2020, Georgia Baxter-Krause signed and sent a letter responding to the information request. With respect to the "Process Water Evaporation in Retorts," Georgia Baxter-Krause stated, in relevant part, "[J.H.] Baxter does not have specific dates when this practice occurred; it was a seasonal practice and occurred occasionally during the rainy season, primarily during heavy rain events when the holding tanks were at capacity." Additionally, the letter referred only to retort 81 being used for boiling and made no reference to records being kept for the treatment practice.

Two days later, on September 30, 2020, the hazardous waste inspector with ODEQ asked Georgia Baxter-Krause, via email, "I also wonder if other retorts were used to evaporate process wastewater and if so which ones?" Georgia Baxter-Krause responded within minutes of receiving the email, stating, in relevant part, "No other retorts were used."

In truth, and as known to Georgia Baxter-Krause, J.H. Baxter maintained detailed daily production logs for each retort. These logs were prepared and maintained by J.H. Baxter's employees at the Facility. The logs included the notes "BOILING OFF WATER" or "WATER

Reg. 13644 (for subsequent updates and approvals). Accordingly, all references to the C.F.R. in this plea letter are to the C.F.R. as adopted by Oregon in Oregon Administrative Rule (OAR) 340-100-002.

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IN RETORT” to indicate which retorts were being used to boil wastewater each day. Those logs showed that from approximately January 2, 2019, to October 6, 2019, J.H. Baxter boiled off hazardous process wastewater in its wood treatment retorts on 136 known days. During this time, and as conveyed to and known by Georgia Baxter-Krause, J.H. Baxter used four of its five retorts—81, 82, 83, and 85—to boil off process wastewater.

7. **Waiver of Discovery:** As a material term of this offer and agreement, defendant expressly accepts the government’s offer to make available the evidence gathered in the investigation of this matter for on-site inspection and the government’s production of limited discovery as of the date of this agreement in full satisfaction of the government’s discovery obligations in this case. Defendant knowingly, intelligently, and voluntarily waives any right to further production of discovery or information from the government, even though she may be entitled to such production pursuant to the Federal Rules of Criminal Procedure, the standing orders of the Court regarding discovery, and any prior demands for discovery.

8. **Sentencing Factors:** The parties agree that the Court must first determine the applicable advisory guideline range, then determine a reasonable sentence considering that range and the factors listed in 18 U.S.C. § 3553(a). Where the parties agree that sentencing factors apply, such agreement constitutes sufficient proof to satisfy the applicable evidentiary standard.

9. **Relevant Conduct:** The parties agree that defendant’s relevant conduct, as defined in U.S.S.G. § 1B1.3, establishes a Base Offense Level of 8, pursuant to U.S.S.G. § 2Q1.2(a), due to the mishandling of hazardous substances. Additionally, the parties agree that a 6-level upward adjustment is applicable given that the conduct resulted in an ongoing or repetitive release of a hazardous substance to the environment, pursuant to U.S.S.G. § 2Q1.2(b)(1)(A). The parties likewise agree that a 4-level upward adjustment is applicable pursuant to U.S.S.G. § 2Q1.2(b)(4) because the offense involved the treatment of hazardous waste without a permit. The parties agree that the above guidelines are applicable to the offense of false statements under RCRA pursuant to U.S.S.G. § 2Q1.2(b)(5). Accordingly, the parties agree the Total Offense Level associated with the offense is 18, prior to adjustments.

10. **Acceptance of Responsibility and Zero-Point Offender:** Defendant must demonstrate to the Court that she fully admits and accepts responsibility under U.S.S.G. § 3E1.1 for her unlawful conduct in this case. The government reserves the right to change its sentencing recommendation if defendant, between plea and sentencing, commits any criminal offense, obstructs or attempts to obstruct justice as explained in U.S.S.G. § 3C1.1, or acts inconsistently with acceptance of responsibility as explained in U.S.S.G. § 3E1.1. The parties also agree to jointly recommend a 2-level downward departure for zero-point offender status pursuant to U.S.S.G. § 4C1.1, as long as the criminal history portion of the pre-sentence investigation report supports such a departure.

11. **Sentencing Recommendation:** With respect to a term of incarceration, the government will recommend a sentence within the applicable guidelines range and the defendant may recommend any lawful sentence. With respect to a fine, the parties agree to jointly recommend

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that the Court sentence defendant to pay the maximum criminal fine of \$250,000 per count, for a total of \$500,000, so long as defendant demonstrates acceptance of responsibility as explained above.

12. **Additional Departures, Adjustments, or Variances:** The parties agree not to seek any specific offense characteristics, departures or adjustments other than as specified in this agreement.

13. **Waiver of Appeal/Post-Conviction Relief:** Defendant knowingly and voluntarily waives the right to appeal from any aspect of the conviction and sentence on any grounds, except for a claim that the sentence imposed exceeds the statutory maximum. Should defendant seek an appeal, despite this waiver, the government may take any position on any issue on appeal. Defendant also waives the right to file any collateral attack, including a motion under 28 U.S.C. § 2255, challenging any aspect of the conviction or sentence on any grounds, except on grounds of ineffective assistance of counsel, and except as provided in Fed. R. Crim. P. 33 and 18 U.S.C. § 3582(c)(2).

Defendant expressly agrees that this waiver shall remain effective in the event that the government alters its sentencing recommendation consistently with paragraph 10-11, *supra*, or because defendant breaches this agreement as described in paragraph 16, *infra*.

14. **Court Not Bound:** The Court is not bound by the recommendations of the parties or of the presentence report (PSR) writer. Because this agreement is made under Rule 11(c)(1)(B) of the Federal Rules of Criminal Procedure, defendant may not withdraw any guilty plea or rescind this plea agreement if the Court does not follow the agreements or recommendations of the parties.

15. **Full Disclosure/Reservation of Rights:** The government will fully inform the PSR writer, and the Court of the facts and law related to defendant's case. Except as set forth in this agreement, the parties reserve all other rights to make sentencing recommendations and to respond to motions and arguments by the opposition.

16. **Breach of Plea Agreement:** If defendant breaches the terms of this agreement or commits any new criminal offenses between signing this agreement and sentencing, the government is relieved of its obligations under this agreement, but defendant may not withdraw any guilty plea or challenge or rescind the waiver of appeal as provided in paragraph 13, *supra*.

If defendant believes that the government has breached the plea agreement, she must raise any such claim before the district court, either prior to or at sentencing. If defendant fails to raise a breach claim in district court, she has waived any such claim and is precluded from raising a breach claim for the first time on appeal.

17. **Disclosure of Assets and Restitution:** Defendant agrees fully to disclose all assets in which defendant has any interest or over which defendant exercises control, directly or

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indirectly, including, but not limited to, those held by a spouse, nominee, or third party. This obligation to the government is ongoing until defendant satisfies the financial terms of the Court's final order and judgment. Defendant agrees to truthfully complete the Financial Disclosure Statement provided herein by the earlier of fourteen days from defendant's signature on this plea agreement or the date of defendant's entry of a guilty plea, sign it under penalty of perjury, and provide it to both the government and the United States Probation Office. Defendant further agrees that she will comply with any requests for financial information made by either the government or the United States Probation Office. Defendant agrees to voluntarily provide updates of any material changes in circumstances, as described in 18 U.S.C. § 3664(k), within seven days of the event giving rise to the changed circumstances. This obligation to the government shall cease once the defendant fulfills the financial obligations of the Court's final order and judgment.

Defendant expressly authorizes the government to obtain a credit report on defendant. Defendant agrees to provide waivers, consents, or releases requested by the government to access records to verify the financial information. Defendant also authorizes the government to inspect and copy all financial documents and information held by the U.S. Probation Office.

The parties agree that defendant's failure to timely and accurately complete and sign the Financial Disclosure Statement, and any update thereto, may, in addition to any other penalty or remedy, constitute defendant's failure to accept responsibility under U.S.S.G. § 3E1.1.

Defendant agrees to notify the Financial Litigation Program of the USAO before defendant transfers any interest in property with a value exceeding \$1,000 owned directly or indirectly, individually or jointly, by defendant, including any interest held or owned under any name, including, but not limited to, trusts, companies, partnerships, and corporations.

Pursuant to the Order Authorizing Notification to Potential Crime Victims, entered April 10, 2024, by Hon. Michael J. McShane, Case No. 6:24-mc-387, the government has provided notice to potential victims as required by the Crime Victims' Rights Act, 18 U.S.C. § 3771, and has undertaken air modeling and toxicology analysis to determine potential harm to individuals and properties resulting from the above-described criminal activity. To date, the government has received responses from current and former community members with associated restitution requests in the amount of \$10.4 million. The parties will jointly recommend the criminal fine detailed above, but based on currently submitted victim impact information, the government will not be seeking a restitution judgment against the defendant. The defendant understands and agrees that the Court will ultimately have sole discretion to determine if defendant is liable for any restitution. If so, the Court shall order restitution to each victim in the full amount of each victim's losses as determined by the Court. Defendant agrees to the entry of an order of restitution for all losses suffered by victims of defendant's relevant conduct. *See* 18 U.S.C. §§ 3663(a)(3); 3663A.

Defendant understands and agrees that the total amount of any monetary judgment that the Court orders defendant to pay will be due immediately. Defendant further understands and

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agrees that pursuant to 18 U.S.C. § 3614, defendant may be resentenced to any sentence which might have originally been imposed if the court determines that defendant has knowingly and willfully refused to pay a fine or restitution as ordered or has failed to make sufficient bona fide efforts to pay a fine or restitution. Additionally, defendant understands and agrees that the government may enforce collection of any fine or restitution imposed in this case pursuant to 18 U.S.C. §§ 3572, 3613, and 3664(m) in any manner permitted under the law, notwithstanding any initial or subsequently modified payment schedule set by the court. Defendant understands and agrees that any monetary debt defendant owes related to this matter may be included in the Treasury Offset Program to potentially offset defendant's federal retirement benefits, tax refunds, and other federal benefits.

Pursuant to 18 U.S.C. § 3612(b)(1)(F), defendant understands and agrees that until a fine or restitution order is paid in full, defendant must notify the USAO of any change in the mailing address within 30 days of the change. Further, pursuant to 18 U.S.C. § 3664(k), defendant shall notify the Court and the USAO of any material change in defendant's economic circumstances that might affect defendant's ability to pay restitution, including, but not limited to, new or changed employment, increases in income, inheritances, monetary gifts, or any other acquisition of assets or money.

18. **Payment of Fine:** Defendant agrees to deliver, within 14 days after entry of judgment following sentencing a certified check or money order to the Clerk of the Court in the amount ordered by the Court, payable to the "Clerk, U.S. District Court," to be deposited into the court registry and applied to satisfy the financial obligations of defendant, pursuant to the judgment of the Court.

19. **Memorialization of Agreement:** No promises, agreements, or conditions other than those set forth in this agreement and a companion agreement with codefendants J.H. Baxter & Co., A California Limited Partnership, and J.H. Baxter & Co., Inc. will be effective unless memorialized in writing and signed by all parties listed below or confirmed on the record before the Court. If defendant accepts this offer, please sign and attach the original of this letter to the Petition to Enter Plea.

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20. **Deadline:** This plea offer expires if not accepted by January 22, 2025, at noon.

Sincerely,

NATALIE K. WIGHT
United States Attorney

/s/ William M. McLaren
WILLIAM M. McLAREN
Assistant United States Attorney

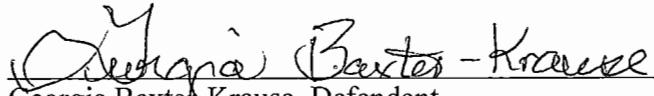
/s/ Karla G. Perrin
KARLA G. PERRIN
Special Assistant United States Attorney

/s/ Rachel M. Roberts
RACHEL M. ROBERTS
Trial Attorney
Environment and Natural Resources Division
Environmental Crimes Section

/s/ Stephen J. Foster
STEPHEN J. FOSTER
Trial Attorney
Environment and Natural Resources Division
Environmental Crimes Section

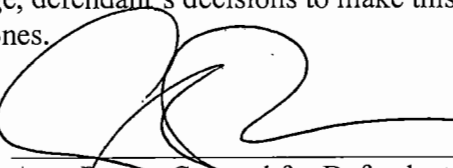
Defendant Georgia Baxter-Krause has carefully reviewed every part of this agreement with its attorney. The defendant understands and voluntarily agrees to the terms of this agreement. The defendant expressly waives her rights to appeal as outlined in this agreement. The defendant pleads guilty because, in fact, she is guilty.

1/22/25
Date


Georgia Baxter-Krause, Defendant

I represent the defendant as legal counsel. I have carefully reviewed every part of this agreement with defendant. To my knowledge, defendant's decisions to make this agreement and to plead guilty are informed and voluntary ones.

1/22/25
Date


Amy Potter, Counsel for Defendant
Angeli & Calfo LLC